

These distinctions are illustrated by³ the accompanying nine examples, taken as of December 31, 1938.

Comments on the Various Groups. The companies listed in Group A are representative of the so-called “first-grade” or “blue chip” industrials,

**Group B: Common Stocks Speculative in December 1938
Because of Their Irregular Record**

Item	Group B		
	Goodyear Tire and Rubber	Simmons	Youngstown Sheet and Tube
Amount earned per share of common:			
1938	\$1.34	\$1.42	\$0.89(d)
1937	1.95	2.88	6.79
1936	3.90	3.53	7.03
1935	0.12	1.14	0.64
1934	0.66(d)	0.84(d)	2.95(d)
1933	0.79(d)	0.04	7.76(d)
1932	4.24(d)	2.57(d)	11.75(d)
1931	0.04	0.79(d)	6.55(d)
1930	0.37(d)	1.05(d)	5.17
1929	10.23	4.15	17.28
10-yr. average	\$1.15	\$0.79	\$0.70
5-yr. average (1934–1938)	\$ 1.35	\$1.63	\$2.12
Bonds	\$50,235,000	\$10,000,000	\$87,000,000
Pfd. stock	650,000 sh. @ 108 70,250,000	None	150,000 sh. @ 81 12,165,000
Common stock	2,059,000 sh. @ 37 ⁵ / ₈ \$77,500,000	1,158,000 sh. @ 32 \$37,050,000	1,675,000 sh. @ 54 ¹ / ₄ \$90,900,000
Total capitalization	\$197,985,000	\$47,050,000	\$190,065,000
Net tangible assets, 12/31/38	\$170,322,000	\$28,446,000	\$224,678,000
Net current assets, 12/31/38	\$96,979,000	\$14,788,000	\$83,375,000
Average earnings on common-stock price, 1929–1938	3.1%	2.5%	1.3%
Maximum earnings on common-stock price, 1929–1938	27.2%	13.0%	31.8%
Minimum earnings on common-stock price, 1929–1938	(d)	(d)	(d)
Average earnings on common-stock price, 1934–1938	3.6%	5.1%	3.9%

³ See Appendix Note 58 for the examples given in the 1934 edition, and their later performance.